

KAVACH REGULATORY AUTHORITY

Department of Financial Supervision, Mumbai - 400001

Circular No: KAVACH/2024/01

Date: 15 January 2024

Re: Cash Transaction Reporting (CTR) and Suspicious Transaction Reporting

- 1.** All Regulated Entities (REs) shall report Cash Transaction Reports (CTRs) for all cash transactions of value exceeding Rs. 10,00,000 (Rupees Ten Lakhs) or its equivalent in foreign currency, whether conducted as a single transaction or several transactions that appear to be connected, during a calendar month.
- 2.** All attempts of cash deposits in amounts ranging from Rs. 9,00,000 to Rs. 9,99,999 conducted more than three times in a rolling 30-day period by the same customer or linked accounts shall be flagged as potential structuring and reported as STR.
- 3.** For individual cash deposits, any single deposit exceeding Rs. 50,000 at a branch counter must be accompanied by PAN or Form 60 declaration.
- 4.** REs shall implement automated monitoring systems to detect patterns of cash deposits consistently just below reporting thresholds. Such patterns across 30 days shall trigger enhanced scrutiny.
- 5.** Non-compliance with CTR filing shall attract penalties under Section 13 of PMLA, 2002, up to Rs. 1,00,000 per instance.
- 6.** All CTRs shall be filed with FIU-IND within 15 days of month close. STRs within 7 working days of identification.
- 7.** This circular supersedes all previous circulars on cash transaction monitoring thresholds.

SYNTHETIC circular for demonstration. Not actual regulatory guidance.